

Investment Risk versus Sequence Risk

Another way to understand how sequence risk amplifies investment risk is to consider how historical withdrawal rates would have varied based on the actual sequence of historical returns and on the average compounded return over each thirty-year period in history. To illustrate this, we will first look at the rolling compounded investment returns over thirty-year periods for the same 50/50 portfolio described before.

Exhibit 3.7

Compounded 30-Year Real Portfolio Returns

For 50/50 Asset Allocation, 30-Year Periods

Using SBBi Data, 1926–2016, S&P 500 and Intermediate-Term Government Bonds

